

EG CONFERENCE CALL NOTES: Europe update

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CONFERENCE CALL NOTES

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Europe update

* Andy Burnham's first week in Number 10 has been more successful than Keir Starmer's, offering a clearer political narrative and policy agenda than the previous government, although questions about his economic program remain.

* Next year's French presidential election presents Europe's biggest political risk because Marine Le Pen would withhold France's contribution to the EU budget and use that leverage to advance her political priorities.

* The EU is becoming more protectionist toward China, though its new trade tools will probably not arrive until 2028, and in the meantime, it will likely use its existing trade defense instruments more proactively and forcefully.

This is an AI-generated summary based on the call transcript. A full video and audio of this call are available. You can access other Eurasia Group conference calls through a personalized link for select podcast readers [here](#) . You can access the slides [here](#) .

Speakers:

- * Mujtaba Rahman, Managing Director, Europe
- * Jens Larsen, Practice Head, Geoeconomics
- * Jan Techau, Director, Europe

UK

* James Purnell's move into Downing Street, alongside outside, informal advice from individuals like Richard Hughes, Jim O'Neill, and Andy Haldane is a clear upgrade from the political and economic team in Keir Starmer's Number 10. Andy Burnham is also a stronger political communicator than his predecessor.

* Burnham has ruled out an early election, removing a risk that we had placed at 10%. As a result, the manifesto's red line on taxation will remain intact.

- * Expect the government to target wealth rather than income. Likely measures include aligning capital gains tax rates with income tax, possibly imposing a surcharge on banks' profits, exit taxes and possibly reforming council tax.
- * The government is expected to unveil its growth plan soon. Devolution remains a 10-year ambition and Burnham's team knows it will not deliver growth in the near term. Social care reform, which could carry a cost as high as £18 billion, will be another government priority. Ministers plan to fund part of Burnham's priorities through welfare reform and by addressing the problem of 1.1 million young people not in work.
- * Defense will require an immediate £4.7 billion commitment in the next budget while the path to spending 3.5% of GDP by 2035 will likely be pursued via the Canadian idea of a multilateral defense fund.

France

- * Marine Le Pen is a more formidable challenger for the political center than Jordan Bardella. She carries political weight that he lacks and refuses to compromise on her core policies, which will make her platform more disruptive.
- * Despite her popularity with the National Rally (RN) base, Le Pen still needs another 10% of support from non-RN voters to win outright in the second round.
- * While this will be her most competitive election, France also remains a small-c conservative country, and many voters remain uncomfortable with the idea of electing a far-right leader.
- * Momentum, rather than any pact, will likely make former Prime Minister Edouard Philippe the candidate for the center, given his presidential stature and his early break with President Emmanuel Macron. We place Philippe's odds of beating Le Pen at 60-40 in the second round, although our overall aggregate odds separate them by less than one point.
- * A fragmented center poses the greater risk. If Jean-Luc Mélenchon reaches the runoff, Le Pen would probably win. A late court ruling that reopens her case could also disqualify her candidacy.

Germany

- * Eurasia Group had taken a pessimistic view of Germany. However, we see the 1 July reform package as a significant turning point, even if it does not solve Chancellor Friedrich Merz's unpopularity or halt the rise of the far right.
- * The 1 July package introduces private investment into the pay-as-you-go pension system. That step overcomes resistance from the Social Democratic Party (SPD) and creates room for cooperation in a low-trust coalition. The rest of the 34-point program is modest, and bracket creep will absorb most of the promised tax relief.
- * The package has given the coalition a measure of hope and has led us to reduce our estimate of coalition collapse from 40% to 20%.
- * Merz now faces his main political risk within his own party, given his record-low ratings and early doubts about whether he should lead the conservatives into the 2029 election.
- * Key dates to watch are the eastern state elections on 6 and 20 September, when gains by Alternative for Germany (AfD) will test the conservatives' firewall, and the presidential vote on 30 January.

EU-China

- * China is the EU's biggest strategic vulnerability. This is the relationship most prone to policy surprises and downside risk, not the EU's relationship with the US and/or Russia.

- * The June European Council mandated the European Commission to develop a new “overcapacity” instrument, likely proposed in late September. Early discussions suggest it would have a mutualization component to compensate member states targeted by Chinese retaliation. Subsidy and currency criteria would trigger the use of trade defense instruments. Sectoral and horizontal in scope, an EU301 in effect, it would let the Commission act without first proving injury, though it would not bite before 2028.
- * In the interim, expect a tougher line via anti-dumping, anti-subsidy, and safeguard actions in autos, chemicals, and machinery, with a mid-October stock take. Our base case remains the ratcheting up of tensions as China fails to reform its economic practices in ways EU leaders are now demanding.

Macro and Markets

- * The Middle East crisis is the dominant near-term uncertainty, hitting Europe harder than the US with gas prices a particular vulnerability. Resilient demand and AI-driven investment have provided demand support, and avoidance of policy errors has helped contain spillovers.
- * Long-dated yields stay elevated. The UK stands out for exposure to the Middle East shock rather than for Burnham; French pricing reflects fiscal impasse rather than election risk, which markets have yet to price. But even German yields have risen.
- * The euro area is likely to avoid a hard landing. In retrospect, the ECB’s June hike looks sensible, with further moves contingent on the crisis easing. Fading Next Generation EU funding and fiscal impulse is a medium-term worry. In the UK, the upcoming budget will be challenging if the Chancellor wants to restore the buffer.

Q&A

Q: What did Wang Yi’s meeting with the European Parliament signal for EU-China relations?

- * Mujtaba Rahman: The trade commissioner’s late-June meeting mattered more. Beijing conceded poor reciprocal access but still denies any subsidy or currency problem, and Spanish and Italian reluctance will not stop the defensive turn.
- * Jan Techau: Berlin is moving with it. Long-term risk to the industrial base now outweighs short-term gains, so Germany will stop braking, though it stays less hawkish than others want.

Q: Where does Germany stand on the EU methane regulation?

- * Techau: Economy Minister Katherina Reiche is going solo with the Chancellery’s tacit backing. Berlin will stay among the skeptics, pressing for a three-year delay or outright repeal.

Q: How would a Le Pen victory affect Ukraine and EU financing?

- * Rahman: Accession would become almost impossible. Worse, she would withhold France’s budget contribution as leverage, and unanimity is required, so support for Kyiv would be bilateralized.

Q: How influential is Andy Haldane on the fiscal agenda?

- * Rahman: Less than assumed. Healey and the Treasury own it, while Haldane’s weight lies in devolution and the growth agenda.

Q: Giving Philippe a win over Le Pen looks bold. How firm is the call?

- * Rahman: Low conviction. His stature and Le Havre base make him the default, but he lacks killer instinct, and a late outsider could still emerge as Macron did.

Q: Which way would the left break in a Philippe–Le Pen runoff?

* Rahman: The left remains unorganized. Many Mélenchon voters will abstain or back Le Pen, while centrists should hold their noses for Philippe.

Q: Who does Burnham fear more, the parliamentary party or the bond market?

* Rahman: Both. Healey has instructed the Cabinet and Treasury to respect the fiscal rules and hold headroom near £20 billion. This is not Truss territory.

Please note that while this AI-generated summary has been checked for accuracy against the source material, it may not capture every nuance or qualifier from the discussion. The full transcript or audio should be consulted for complete context.

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